

GROUP DECISION MAKING AND CREATIVITY

Creativity is the **ability to combine ideas** in a unique way or to make unusual associations between ideas.

Innovation is the **process of taking a creative idea and turning it into a useful product, service, or method of operation.**

Creativity is the **cognitive process of developing an** idea, concept, commodity, or discovery that is viewed as novel by its creator or a target audience.

A. Creativity requires both convergent and divergent thinking.

- a. **Convergent thinking** is the **effort to solve problems by beginning with a problem** and attempting to move logically to a solution.
- b. **Divergent thinking** is the **effort to solve problems by generating new ways of viewing** a problem and seeking novel alternatives.

B. Creativity has three necessary ingredients.

- a. **Domain-relevant skills** are those **associated with expertise in the relevant field.**
- b. **Creativity-relevant skills** include a **cognitive style**, or method of thinking that is oriented to exploring new directions, knowledge of approaches that can be used for generating novel ideas, and a work style that is conducive to developing creative ideas.
- c. **Task motivation** is **interest in the task for its own sake**, rather than because of some external reward possibility, such as more

C. An individual's creative process has several stages.

- a. **Verification** involves testing the ideas to determine the validity of the insight.

D. Group creativity can be enhanced by means of a number of techniques. Two of which are following:

- a. **Brainstorming** is a means of enhancing creativity that **encourages group members** to generate as many novel ideas as possible on a given topic **without evaluating them.**
 - i. **Computer assisted brainstorming** have been found to **give superior results.**
- b. The **Nominal Group Technique (NGT)** is a means of enhancing creativity and decision making that integrates both individual work and group interaction **within certain ground rules.**
 - i. NGT was developed to foster creativity and to overcome the tendency to criticize ideas when they are presented

Lateral Thinking Vs Vertical Thinking

Vertical thinking is logical but only in one direction. You ignore the possibilities and alternatives around you or **various other ways of doing same thing.** **Vertical way of thinking is the problem solving way the way computers do.**

Rotating a problem from different angles to try and locate alternative points of entry involves Lateral thinking.

Other Decision Making Methods

1. Delphi Method:

The Delphi method is a structured approach to **gain the judgments of a number** of experts on a specific issue **relating to the future.** If there is a wide divergence of opinion in Delphi Method this **step is repeated.**

2. Scenario Analysis:

The Scenario analysis, developed in **France**, approach addresses a variety of possible futures **by evaluating major environmental variables**, assessing the likely strategies of other significant factors (e.g.,

other organizations), devising possible counter strategies, **developing ranked hypotheses about the variables**, and formulating alternative scenarios.

Scenarios are outlines of possible future conditions, including possible paths the organization could take that would likely lead to these conditions.

One object of the method is to **enable the organization to make decisions** that do not greatly inhibit **further freedom of choice**.

Deming's TOOL FOR Improvement and Innovation:

PDCA or PDSA i.e. **Planning, Doing, Checking/Studying and Acting** are the four activities which Dr. Deming taught to Japanese companies to solve work related daily and yearly problems.

Questions and Answers

1. **Differentiate between creativity and innovation.** Creativity is the ability to combine ideas in a unique way or to make unusual associations between ideas. Innovation is the process of taking a creative idea and turning it into a useful product, service, or method of operation.
2. **How can the systems model be used to help organizations become more innovative?** In the systems model we use inputs like creative people and groups and, through a creative process or situation, transform the inputs into the desired output such as creative products. The right environment is also important.
3. **Describe the specific structural, cultural, and human resource variables associated with innovation.** Variables associated with innovation are structural (organic structure, abundant resources, and high inter unit communication), cultural (acceptance of ambiguity, tolerance of the impractical, low external controls, tolerance of risks, tolerance of conflicts, focus on ends, and open-system focus), and human resource (high commitment to training and development, high job security, and creative people).

Lecture 20

PLANNING AND DECISION AIDS-I

TECHNIQUES FOR ASSESSING THE ENVIRONMENT

Several techniques have been developed to assist managers in assessing the organization's environment.

Environmental Scanning: Environmental scanning is the **screening of large amounts of information** to anticipate and interpret changes in the environment.

SWOT analysis is an **analysis of an organization's strengths, weaknesses, opportunities, and threats**.

It **brings together the internal and external environmental analyses** in order to identify a strategic niche the organization might exploit.

Competitor intelligence is an environmental scanning activity that seeks to **identify who competitors are, what they are doing**, and how their actions will affect the organization.

Another type of **environmental scanning is global scanning** in which **managers assess the changes and trends in the global environment**.

Environmental scanning provides the **foundation for developing forecasts**, which are **predictions of outcomes**.

There are **three categories of forecasting techniques**.

a **Quantitative forecasting** **applies a set of mathematical rules to a series** of past data to predict outcomes.

b **Qualitative forecasting** uses the **judgment and opinions of knowledgeable** individuals to predict outcomes.

c **Judgmental forecasting**

Forecasting

Forecasting is the process of **predicting changing conditions** and **future events** that may significantly **affect** the business of an organization.

1. **Forecasting is important to both planning and decision making.**
2. **Forecasting is used in a variety of areas** such as: **production planning, budgeting, strategic planning, sales analysis, inventory control, marketing planning, logistics planning, and purchasing** among others.

Some suggestions for improving forecasting effectiveness are as follows:

- 1) Use **simple forecasting techniques.** 2) **Compare** every forecast with “no change.” 3) **Don't rely on a single forecasting method.** 4) Don't assume that you can accurately identify turning points in a trend. 5) **Shorten the length of the forecasts.** 6) **Forecasting is a managerial skill and can be practiced and improved.**

Methods of Forecasting

A. **Quantitative forecasting** relies on **numerical data and mathematical model** to predict future. There are **two types of quantitative forecasting most frequently** used.

1. **Time-series methods** used **historical data to develop forecasts of the future.**

A **seasonal pattern** indicates **upward or downward changes** that coincide with particular points within a **given year**.

A **cyclical pattern** involves **changes at particular points** in time that span longer than a **year**.

Time-series are more **valuable for predicting broad environmental factors** than in predicting the impact of present or future actions.

Time-series rely on past trends there **can be a danger** in their use if environmental changes are disregarded.

2. **Explanatory or causal models** attempt to **identify the major variables** that are related to or have caused particular past conditions and then **use current measures of those variables** (predictors) to **predict future conditions**.

a. **Explanatory models** allow **managers to assess the probable impact of changes in the predictors**.

b. **Regression models** are **equations that express the fluctuations** in the variable being forecasted in terms of fluctuations among one or more other variables.

c. **Econometric models** are **systems of simultaneous multiple regression equations involving several predictor variables** used to **identify and measure relationships or interrelationships** that exist in the economy.

d. **Leading indicators** are **variables that tend to correlate with the phenomenon of major interest** but also tend to occur in advance of the phenomenon.

B. Technological, or Qualitative, Forecasting is aimed primarily at **predicting long-term trends in technology** and other important aspects of the environment The **focus is upon longer-term issues** that are less amenable to numerical analysis as quantitative approaches.

The Delphi method and Scenario analysis can be used as techniques.

B. **Judgmental Forecasting** relies on **individual judgments or committee agreements** regarding future conditions.

1. **Judgmental forecasting** methods are highly **susceptible to bias**.
2. The **jury of executive opinion** is one of the two judgmental forecasting models. It is a means of forecasting in which organization executives hold a meeting and estimate, as a group, a forecast for a particular item.
3. The **Sales-force composite** is a means of forecasting that is used **mainly to predict future sales** and typically involves obtaining the **views of various salespeople, sales managers, and/or distributors** regarding the sales outlook.

The choice of which forecasting method to use depends upon the needs within particular forecasting situations.

1. Quantitative forecasting methods:

a Have a **short-to-medium time horizon** b Require a **short period of time** if a method is developed c Often have **high development costs** d Are **high** in accuracy in identifying patterns e Are **low** in accuracy in predicting turning points for time series, but medium for other methods. f **Are difficult to understand**

2. Technological forecasting methods:

a Have a **medium-to-long time horizon** b Require a **medium-to-long time** c Have **medium development costs** d Are of **medium accuracy** in identifying patterns e Are of **medium accuracy** in predicting turning points f Are **easily understood**.

3. Judgmental forecasting methods:

a Have a **short-to-long time horizon** b Require a **short time** c Have **low development costs** d Are of **medium-to-high accuracy** in identifying patterns e Are of low accuracy in predicting turning points f Are **easily understood**

Benchmarking is the **search for the best practices among competitors or non-competitors** that lead to their superior performance.

The **benchmarking** process typically follows **four steps**.

Lecture 21

PLANNING AND DECISION AIDS-II

1. TECHNIQUES FOR ALLOCATING RESOURCES.

Resources are the **assets of the organization** and include **financial, physical, human, intangible, and structural**.

1) Budgeting

A **budget is a numerical plan for allocating resources to specific activities**. Budgets are popular because they're applicable to a wide variety of organizations and units within an organization.

There are four different types of budgets.

- a. A **revenue budget** is a budget **that projects future sales**.
- b. An **expense budget** is a budget **that lists the primary activities undertaken by a unit** and **allocates a dollar amount to each**.

c. A **profit budget** is a budget **used by separate units of an organization** that combines revenue and expense budgets to determine **the unit's profit contribution**.

d. A **cash budget** is a budget **that forecasts how much cash an organization will have on hand** and how much it will need to meet expenses.

Fixed budgets: Budgets are based on the assumption of a **single specified volume**.

Variable budget is a budget that takes into account the costs that **vary with volume**.

2) Scheduling

Scheduling involves a list of necessary activities, **their order of completion, which is to do each, and time needed** to complete them. Some **useful scheduling tools include the following**.

A. The **Gantt chart**, named after Henry Gantt, is a **scheduling chart that visually shows actual and planned output over a period of time**. A **Gantt chart** is a **specialized bar chart** that shows the current progress on each major project activity relative to necessary completion dates.

a. A **project is broken down** into separate **main activities listed on the left side of the chart**.

b. The **time frame is listed at the top or the bottom of the chart**.

c. The **duration and scheduling** of activities is **shown by a bar**.

d. **Gantt charts do not show interrelationships among activities**.

e. Software packages for creating and using Gantt charts (and many other decision tools) on computer are becoming widely available.

B. PERT, or Program Evaluation and Review Technique

PERT is a network planning method for managing and controlling large one-time projects. It is a technique for scheduling complicated projects comprising many activities, some of which are interdependent.

A PERT network is a flowchart like diagram

a. An **activity** is a **work component to be accomplished, and is represented by an arrow on the network** diagram.

b. An **event (or node) represents** a **single point in time** that is the **beginning or the ending of an activity**.

The **critical path** is the **path of activities and events in the network that will take the longest time to complete**.

Slack is the **degree of latitude** about when **various activities can be started without the completion date** of the entire project.

Please remember in PERT charts the followings:

MCQs

1) **Events are end points** that represent the completion of major activities in a PERT network.

2) **Activities, which are the time or resources** required to **progress from one event to another** in a PERT network.

3) **Slack time** is the **amount of time an individual activity can be delayed without delaying the whole project**.

4) **Critical path** is the **longest or most time-consuming sequence of events** or activities in a PERT network.

3) Breakeven Analysis

Breakeven analysis is a **technique for identifying the point** at **which total revenue is just sufficient** to cover total costs.

4) Linear Programming

Linear programming is a mathematical technique that can be used to solve **resource allocation problems**.

Linear programming (LP) is a **quantitative tool for planning** how to allocate limited or scarce resources so that a single criterion or goal (often profits) is optimized.

Linear Programming is the most widely used **quantitative planning tools in business**.

There are **optimal conditions for using linear programming**.

- a. A **single objective must be achieved**. b. **Attainable constraints exist**. c. **Variables are linearly related** to the objective, i.e., and increase (or decrease) in the variable leads to a proportional increase (or decrease) in the objective.

2. CONTEMPORARY PLANNING TECHNIQUES.

1) Project Management

A **project** is a **one-time-only set** of activities that has a definite beginning and ending point in time.

Project management is the **task of getting a project's activities done on time**, within budget, and according to specifications.

Project Management Process

There are **seven steps in the project planning process**.

Define objectives. Identify activities and resources. Establish sequences. iv. Estimate time for activities. v. Determine project completion date. vi. Compare with objectives. vii. Determine additional human resource requirements.

2) Scenario planning

A **scenario** is a consistent **view of what the future is likely to be**. ii. **Developing scenarios also can be described as contingency planning**. Scenario planning is difficult to use when forecasting random events.

3. OTHER PLANNING TECHNIQUES:

1) Queuing or waiting-line models are **mathematical models** that describe the **operating characteristics of queuing situations**.

- i. **Queuing situations** can be any **combination of single-server or multiple-server queues**.

1. **Single-server queues** involved **service provided at a single point**.

2. **Multiple-server queues** occur when a **number of stations** draw from a **single line**.

- ii. **Queuing models** allow **managers to vary the parameters** of a situation to determine the probable effects.

2) Simulation Models

Simulation is a mathematical imitation of reality. It is used when the situation is too **complex** for linear programming or queuing theory.

3) Decision Trees

Trees are graphic models displaying structures of a sequence of alternative course of action and usually showing payoffs associated with various paths and probabilities associated with potential future conditions.

Lecture 22

PLANNING: FUNCTIONS & BENEFITS

Planning involves defining the **organization's goals**, **establishing an overall strategy** for achieving these goals, and **developing a comprehensive set of plans** to integrate and coordinate organizational work.

Purposes of Planning

1. **Planning gives direction to the organization.** 2. Planning **reduces the impact of change.** 3. Planning establishes a coordinated effort. 4. Planning **reduces uncertainty.** 5. Planning **reduces overlapping and wasteful activities.** 6. Planning establishes objectives or standards that are used in controlling.

How do managers plan?

Planning is often called the primary management function because it establishes the basis for all other functions. **Planning involves two important elements: goals and plans.**

The Role of Goals and Plans in Planning

1. **Goals**—desired outcomes for individuals, **groups, or entire organizations.**
2. **Goals are objectives**—the two terms are used interchangeably.

3. Types of goals. MCQs

a. **Financial performance versus strategic goals** b. **Stated versus Real.**

- 1) **Stated goals** are **official statements** of what an organization says, and what it wants its various stakeholders to believe, its goals are. 2) **Real goals** are **those that an organization actually purses.**

Questions and Answers

1. **Define planning.** Planning involves defining the organization's goals, establishing an overall strategy for achieving those goals, and developing a comprehensive set of plans to integrate and coordinate organizational work. It's concerned with both ends (what's to be done) and means (how it's to be done).
2. **What purposes does planning serve?** Planning gives direction, reduces the impact of change, establishes coordinated effort, reduces uncertainty, minimizes waste and redundancy, and sets the standards used in controlling.
3. **What is the relationship between planning and organizational performance?** Formal planning is associated with higher profits, higher return on assets, and other positive financial results. The quality of the planning process and the appropriate implementation of the plans probably contribute to high performance than does the extent of planning.
4. **Differentiate between goals and plans.** **Goals are desired outcomes for individuals, groups, or entire organizations.** **Plans are documents that outline how goals are going to be met** and that typically describe resource allocations, schedules, and other necessary actions to accomplish the goals.
5. **What are the different types of goals?** **Organizations may utilize financial and/or strategic goals, stated and/or real goals.** MCQs

Describe each of the different types of plans.

08 Types of Plans Very Important for MCQs

Strategic plans **apply to the entire organization**, establish the organization's overall goals, and seek to position the organization in terms of its environment.

Operational plans specify the details of **how the overall goals are to be achieved**.

Long-term plans are **plans with a time frame beyond three years**.

Short term plans cover one year or less.

Specific plans are clearly defined and leave no room for interpretation.

Directional plans are flexible plans that **set out general guidelines**.

Single -use plans are one-time plans specifically designed to **meet the needs of a unique situation**.

Standing plans are **ongoing plans** that provide guidance for activities performed repeatedly and include **policies, rules, and procedures**.

The use of goals has several benefits.

1. **Performance** can be improved.
2. **Expectations** can be improved.
3. The **Controlling function** can be facilitated so that progress can be assessed and corrective action taken.
4. Meeting goals can increase **motivation**.

MCQs

1. **Strategic goals** are broadly defined targets or **future end results** set by **top management**.
2. **Tactical goals** are the **targets or future end results** usually **set by middle management** for specific departments or units.
3. **Operational goals** are those **targets or future end results** **set by lower management** that address specific, measurable outcomes required from the lower levels.

Linkage of goals and plans

MCQs

A. Plans, like goals, enter into a hierarchy of levels and priority.

1. **Strategic plans** are **detailed action steps** mapped out to **reach strategic goals**.
 - a. **Strategic plans are organizational wide** and are **developed by top management**.
 - b. The **time horizon** tends to be **long 3 to 5 years or more**.
2. **Tactical plans** are the means charted to support implementation of the strategic plan and achievement of **tactical goals**.
 - a. **Tactical plans are important to the success of strategic plans**.
 - b. The **time horizon** tends to be **intermediate in range 1 to 3 years**.
3. **Operational plans** are the means devised to support implementation of tactical plans and achievement of **operational goals**.
 - a. The **time horizon** is relatively **short-tem**—usually **less than 1 year as a maximum**.

B. Plans can be categorized according to the extent to which they will be used on a recurring basis.

1. **Single-use plans** are plans aimed at achieving a specific goal that, **once reached**, will most **likely not recur in the future**.
 - a. A **program** is a comprehensive plan that coordinates a complex set of **activities related to a major non-recurring goal**.
 - b. A **project** is a plan that coordinates a set of limited-scope activities that do not need to be divided into several major projects in order to reach a major non-recurring goal. **Programs are broader than projects**.
2. **Standing plans** are plans that provide **ongoing guidance** for **performing recurring activities**.

- a. A **policy** is a **general guide** that specifies the broad parameters within which organization members are expected to operate in pursuit of organizational goals.
- b. A **procedure** is a **prescribed series of related steps** to be **taken under certain recurring circumstances**.

- 1) **Procedures are detailed and inflexible; policies are general.**
- 2) **Well established and formalized procedures** are often called **standard operating procedures (SOPs)**.

C. **Different levels of goals and plans** are related to **different time horizons**. **MCQs**

Strategic plans typically **involve time periods of 5 years or more**

Tactical goals and plans typically **involve time periods of 1 to 5 years**.

Operational goals and plans can be for as **short a period** as **1 week** or as long as **1 year**

D. The planning process can be used to promote **innovation in organizations**.

1. The **organizational mission statement** can be a **primary means of encouraging innovation**.

The **plans component** can provide actual plans for achieving **innovative outcomes**.

Lecture 23

PLANNING PROCESS AND GOAL LEVELS

PLANNING PROCESS

A. Planning is a two-part function—setting goals and determining how to try to achieve the goals.

- 1. A **goal** is a **future target** or **end result** that an **organization wishes to achieve**.
- 2. A **plan** is the **means devised for attempting to reach a goal**.

B. An organization's mission is the organization's purpose or fundamental reason for existence.

1. A **mission statement** is a broad declaration of the basic, unique purpose and scope of operations that distinguishes the organization from others of this type.

2. A mission statement serves a variety of purposes.

- a. **For managers, a mission statement** can be a **benchmark** against which to evaluate success.
- b. **For employees, mission statements** define a **common purpose**, nurture organizational loyalty, and help foster a sense of community among members.
- c. **For external groups, mission statements** help **provide unique insights** into an organization's values and future directions.

How Goals Facilitate Performance

The content of goals should meet six criteria.

- 1. **Challenging** goals usually lead to higher performance from individuals and groups.
- 2. **Attainable** goals, not impossible demands, are more likely to improve performance.
- 3. **Specific and measurable** goals are needed so that it is clear when they have been achieved.
- 4. **Time-limited** goals give them meaning.

5. **Relevant goals** enable employees to see the purpose of the goals and to devise ways of meeting them.

6. **Measurable** means the performance and targets **can be measured after an interval of time**.

Goal commitment is one's attachment to, or determination to reach, a goal. Without commitment goals have little impact on performance. **Managers can help foster commitments in a number of ways.** MCQs

1. **Supervisory authority** should serve to motivate employees to meet their goals.
2. **Peer and group pressure** may serve as motivation.
3. **Expectations of success** can be improved by managerial coaching and instruction.
4. **Incentives** are offered during the goal-setting process; **rewards** occur upon goal achievement.
5. **Participation** in the goal setting process may be effective in engendering goals commitment.

Work behavior may be affected by four factors influenced by goals content and goal commitment.

1. Goals provide **Direction** by channeling attention and action toward activities related to those goals, rather than to other activities.

2. Goals to which we are **committed** boost effort by mobilizing energy.

3. **Persistence** involves maintaining direction and effort on behalf of a goal until it is reached.

4. Goal setting leads to **planning** if the goals are appropriately challenging.

The impact of goals on performance of any specific job

MCQs

1. **Job knowledge and ability** are likely to **affect an individual's work behavior and prospects for reaching goals**.

2. The **complexity of the task** may **affect the degree** to which goal-directed work behaviors influence job performance.

3. **Situation constraints** include **such things as having the proper tools, materials, and equipment**.

4. **Knowledge of results** or **feedback** about progress **enables individuals to gauge their progress toward goal attainment**.

Obstacles to planning exist, but may be countered by organizations.

1. **Obstacles to planning** threaten the **ability of organizations to develop effective plans**.

2. Organizations can take steps to reduce the obstacles to planning.

a. **Top-level managers** may demonstrate their support of the **planning process**.

b. A **planning staff** is a **small group of individuals** who **assist top-level managers** in developing the various components of the planning process. **This staff should focus on helping rather than taking over the planning process.**

c. **Contingency planning** is the development of alternative plans for use in the event that environmental conditions evolve differently than anticipated, rendering original plans unwise or unfeasible.

Lecture 24

MANAGEMENT BY OBJECTIVE (MBO)

Time Span of Goals and Plans

MCQs

1. **Strategic goals** and plans generally involve time periods of **3-5 years**.
2. **Tactical goals** and plans typically involve time periods of **1 to 3 years**.
3. **Operational goals** and plans can be for as short a period as **1 week or as long as 1 year**.

Characteristics of Well-Designed Goals

- a. Written in terms of outcomes
- b. Measurable and quantifiable
- c. Clear as to a time frame
- d. Challenging but attainable
- e. Written down
- f. Communicated to all organizational members

Steps in Goals Setting—Five Steps

When uncertainty is high, plans should be specific, but flexible.

Approaches to Establishing Goals

a. **Traditional goal setting** is defined as the process whereby goals are **set at the top of the organization** and then **broken down into sub goals for each level** in an organization.

- 1) **Top managers** are **assumed to know what's best because they see the "big picture."**

Specificity is achieved as each manager applies his or her own set of interpretations and biases.

When the hierarchy of objectives is clearly defined, it forms an integrated **means-end chain** in which **higher-level objectives are linked to lower-level objectives**.

Goal setting has some potential pitfalls

1. **Setting difficult goals increases the risk** that they will not be reached.

2. **High goals may increase the stress levels of organizational members.**

3. **Failure to meet high goals may undermine the self-confidence of organizational members.**

4. Non goal areas may be ignored.

5. **Setting goals may encourage excessive shot-range thinking.**

6. **Inappropriate goals** may lead to **dishonesty and cheating**.

b. **Management by objectives (MBO)** is a process through which specific goals are set collaboratively for the organization as a whole and every unit and individual within it; the goals then are used as a basic for planning, managing organizational activities, and assessing and rewarding contributions.

- 1) **MBO was first described by Peter Drucker and consists of four elements:**

Goal specificity, Participative decision making, Explicit time period, Performance feedback

MBO processes typically include the following steps:

1. **Organizational goals** are developed based on **organizational missions**.
 - a. In the **top-down process**, **upper-level managers**, conferring with their immediate managerial subordinates.
 - b. In the **bottom-up process**, **operational goals are proposed by lower-level managers** on the basis of what they think they can achieve.

Performance is appraised at the **end of the goal-setting cycle**, typically at **one-year intervals**. Praise, recognition, and **rewards should be given for effective performance**.

The strengths of MBO are that it:

1. Aids coordination of goals and plans.
2. Helps clarify priorities and expectations.
3. Facilitates vertical and horizontal communications.
4. Fosters employee motivation.

The weaknesses of MBO are that it:

1. Tends to falter without strong, continual commitment from top management.
2. Necessitates considerable training of managers.
3. Can be misused as a punitive device.
4. May cause overemphasis of quantitative goals.

The “spirit” of MBO is tremendous. In practice however, MBO has been successful only about 20 to 25 percent of the time, primarily because of lack of support from top management and poor goal-setting and communication skills.

Lecture 25

STRATEGIC MANAGEMENT - I

Strategic management is a process through which managers formulate and implement strategies geared to optimizing goal achievement, given available environmental and internal conditions. **Strategic management** is that set of managerial decisions and actions that determines the long-run performance of an organization. It entails all of the basic management functions—planning, organizing, leading, and controlling.

Purposes of strategic management

1. One reason strategic management is important is because it's involved in many of the decisions that managers make.
2. Strategic management has moved beyond for-profit organizations to include all types of organizations, including not-for-profit.

Strategies are large-scale action plans for interacting with the environment in order to achieve long-term goals. MCQs

The strategic management process is made up of several components

1. **Strategy formulation** is the part of the strategic management process that includes:
 - a. Identifying the mission and strategic goals.
 - b. Conducting competitive analysis
 - c. Developing specific strategies
2. **Strategy implementation** is the part of the strategic management process that focuses on:
 - a. Carrying strategic plans.
 - b. Maintaining control over how those plans are carried out.

Lecture 26

STRATEGIC MANAGEMENT - II

THE STRATEGIC MANAGEMENT PROCESS The strategic management process is an eight-step process that encompasses strategic planning, implementation, and evaluation.

A. The first step is identifying the organization's current mission, objectives, and strategies.

Every organization needs a mission, which defines the purpose of the organization.

B. Step 2 is analyzing the external environment.

1. A successful strategy is one that aligns well with the environment.

C. The **third step is identifying opportunities and threats.**

1. **Opportunities** are **positive external environmental factors.**
2. **Threats** are **negative external environmental factors.**

D. **Step 4 is analyzing the organization's resources.**

Core competencies, are an organization's major **value-creating skills, capabilities, and resources** that determine its competitive advantage.

E. Step 5 is identifying strengths and weaknesses.

The **analysis in step 4** should **lead to a clear assessment** of the **organization's internal resources.**

1. **Strengths** are **those activities the firm does well or the unique resources** it controls.
2. **Weaknesses** are **those activities the firm doesn't do well or the resources** it needs but doesn't possess.

The **culture** can also promote or hinder an **organization's strategic actions.**

The **merging of steps 3 and 5 results in a SWOT analysis**, which is an **analysis of an organization's strengths, weaknesses, opportunities, and threats.**

SWOT brings together the **internal and external analyses** in order to identify a strategic niche the organization might exploit.

F. Step 6 is formulating strategies.

G. The next step is implementing strategies.

H. **The eighth (and final) step in the strategic management process is evaluating results.**

Managers must evaluate the results to determine how effective their strategies have been and what corrections are necessary.

The Role of Competitive Analysis in Strategy Formulation

MCQs

The SWOT analysis involves assessing organization strengths (S) and weaknesses (W), as well as environmental opportunities (O) and threats (T).

1. **Strengths and weaknesses** apply to **internal characteristics.**
 - a. A **strength is an internal characteristic** that has the potential of **improving the organization's competitive situation.**
 - b. A **weakness is an internal characteristic** that **leaves the organization** potentially vulnerable to strategic moves by competitors.
2. **Opportunities and threats** are found in the **external environment.**

a. An **opportunity** is an environmental condition that **offers significant prospects** for **improving** an organization's situation relative to competitors.

b. A **threat** is an environmental condition that offers significant prospects for **undermining** an **organization's competitive situation.**

Lecture 27

LEVELS OF STRATEGIES, PORTER'S MODEL AND STRATEGY DEVELOPMENT (BCG) AND IMPLEMENTATION

Level of Strategies

Many organizations develop strategies at three different levels. These three different and distinct levels of strategy are corporate, business, and functional:

Corporate-level strategy is developed by top-level management and the board of directors.

Corporate-level strategy seeks to determine what businesses a corporation should be in or wants to be in.

Business-level strategy concentrates on the best means of competing within a particular business while also supporting the corporate-level strategy.

A **strategic business unit (SBU)** is a distinct business, with its own set of competitors that can be managed reasonably independently of other businesses within the organization.

Functional-level strategy focuses on action plans for managing a particular functional area within a business in a way that supports the business-level strategy.

- a. Functional areas include operations, marketing, finance, human resources management, accounting, research and development, and engineering.
- b. Functional strategies are usually developed by functional managers and are typically reviewed by business unit heads.

Coordinating strategies across these three levels is critical in maximizing strategic impact.

The Role of Competitive Analysis in Strategy Formulation and Implementation

Porter's Forces Model:

MCQs

Michael E. Porter, a noted strategy expert, has devised the five competitive forces model as an approach for analyzing the external environment for both the nature and the intensity of competition in a given industry in terms of five major forces.

1. The model provides an environmental assessment of strategically significant elements of the organization's task environment.
2. **Rivalry** is the extent to which competitors use tactics to lower the profits of their competitors.
3. The **bargaining power of suppliers** is the extent to which suppliers can exert power over business in an industry by threatening to raise prices or reduce the quality of goods and services they provide.
4. The **bargaining power of buyers** depends on the factors such as number of customers in the market, customer information, and the availability of substitute which determine the amount of influence that buyers have in an industry.
5. The **threat of new entrants** is the threat of a price war if new competitors can enter the market.
6. The **threat of substitute products or services** is the extent to which businesses in other industries can offer substitute products, thus reducing the profit potential for the industry.

An organizational assessment determines how organizational factors in the internal environment affect the competitive situation.

MCQs

1. The **resource-based strategic view** is a useful approach to internal assessment as it focuses on competitive implications of several sets of organizational resources and capabilities.

- a. **Financial resources include** debt, equity, retained earnings, and other money related matters.
- b. **Physical resources include** buildings, machinery, and other materials to operate.
- c. **Human resources include** skills, abilities, experience, and other work related characteristics of those associated with the organization.
- d. **Organizational resources include** the history, relationships, levels of trust, and other culture dimensions.

When a firm has valuable, rare, and difficult to imitate resources and capabilities, it is said to have a **distinctive competence**.

Formulating corporate-level strategy

A. **A grand strategy** (master strategy) **provides the basic strategic direction** at the corporate level of the organization. **Four grand strategies** have been identified.

1. **Growth strategies** are grand strategies that involve organizational expansion **along some major dimension**.

a. **Concentration** focuses on effecting the growth of a single product or service or a small number of closely related products or services.

1) **Market development** is **gaining a larger share of a current market** or expanding into new ones.

2) **Product development** is **improving a basic product or service** or expanding into closely related products or services.

3) **Horizontal integration** is **adding one or more business that is similar**, usually by purchasing such business.

b. **Vertical integration** involves **effecting growth through the production of inputs previously provided** by suppliers or through the replacement of a customer role (such as that of a distributor) by **disposing of one's own outputs**.

1) **Backward integration** occurs when a **business grows by becoming its own supplier**

2) **Forward integration** occurs when organizational growth encompasses a **role previously fulfilled by a customer**.

c. **Diversification** entails **effecting growth through the development of new areas** that are clearly distinct from current businesses.

1) **Conglomerate diversification** takes place when an **organization diversifies into areas** that are **unrelated to its current business**.

2) **Concentric diversification** occurs when an **organization diversifies into a related, but distinct**, business.

These growth strategies can be implemented through a number of means:

1) Internal growth occurs as the organization expands by building on its own internal resources.

2) An **acquisition** is the **purchase of all or part of one organization by another**. **MCQs**

3) A **merger** is the **combining of two or more companies into one organization**. **MCQs**

4) A **joint venture** occurs when **two or more organizations provide resources to support** a given project or product offering.

2. A **stability strategy** is a **second type of grand strategy** that involves maintaining the status quo or growing in a **methodical, but slow, manner**.

a. Small, privately owned businesses are most likely to adopt this strategy.

b. **Some of the reasons for adopting a stability strategy are that it**

1) Avoids the risks or hassles of aggressive growth. 2) Provides the opportunity to recover after a period of accelerated growth. 3) Lets the company hold on to current market share. 4) May occur through default.

3. Defensive strategies, the **third class of grand strategies**, are **sometimes called retrenchment strategies**. They tend to **focus on the desire or need to reduce organizational operations** usually **through cost reductions**, such as cutting back on non-essential expenditures and instituting hiring freezes, and/or asset reductions such as selling land, equipment, or the business itself. **MCQs**

a. **Harvest** entails **minimizing investments** while **attempting to maximize short-run profits** and cash flow, with the long-run intention of existing with the market.

b. A **turnaround** is **designed to reverse a negative trend and restore the organization** to appropriate levels of profitability.

c. A **divestiture** involves an **organization's selling or divesting of a business** or part of a business.

d. A **bankruptcy** is a **means** whereby an **organization that is unable to pay its debts** can seek court protection from creditors and from certain contract obligations while it attempts to regain financial stability.

e. **Liquidation** entails **selling or dissolving an entire organization**.

B. A portfolio strategy approach is a **method of analyzing an organization's mix of businesses** in terms of both individual and collective contributions to strategic goals. **Two portfolio approaches are used most frequently**. Each **uses a two-dimensional matrix**, and each **may apply to either the existing or to potential strategic business units (SBUs)**. The portfolio concept is analogous to an individual's selecting a portfolio of stocks to achieve balance in terms of risk, long-term growth, etc.

1. The **Boston Consulting Groups (BCG)** growth-share matrix compares various businesses in an **organization's portfolio on the basis of relative market share and market growth rate**.

The **BCG matrix**, developed by the Boston Consulting Group, is a strategy tool to guide resource allocation decisions based **on market share and growth of SBUs**.

a. **Relative market share** is **determined by the ratio of a business's** market share compared to the market share of its largest rival.

b. **Market growth rate** is the **growth in the market during the previous year** relative to growth in the economy **as a whole**.

The **matrix defines four business groups**. SBUs plotted on the BCG matrix can be categorized:

1) The **Star** has a **high market share** in a **rapidly growing** market. **MCQs**

2) A **Question Mark (problem child)** has a **low market share** in a **rapidly growing** market.

3) The **Cash Cow** has a **high market share** in a **slowly growing** market.

4) A **Dog** has a **low market share** in an area of **low growth**.

2. The product/market evolution matrix (sometimes called the life-cycle portfolio matrix) is a 15-cell matrix in which business is plotted according to the business unit's business strengths or competitive position, and the industry's stage in the evolutionary product/market life cycle.

The BCG matrix measures market growth rate the product/market evolution matrix shows the industry's stage in the evolutionary life cycle.

The portfolio concept assumes that an organization's businesses can be divided into a reasonable number of independent units.

Contrary to predictions, many so-called dogs have shown consistently higher levels of profitability.

Strategic implications of the BCG matrix are: "milk" the cash cows; invest resources in the stars; liquidate or sell the dogs; and sell off or invest in the question marks.

Formulating Business-level strategy

MCQs

A. Business-level strategies provide advice about specific strategies for various businesses.

B. Michael E. Porter has developed three business-level strategies that are generic, i.e., widely applicable to a variety of situations.

1. A cost leadership strategy involves emphasizing organizational efficiency so that the overall costs of providing products and services are lower than those of competitors.

2. A differentiation strategy involves attempting to develop products and services that are viewed as unique in the industry.

a. Differentiation may occur in brand image, technology, customer service, features, quality, and election.

b. Costs are not as important as product or service uniqueness.

3. A focus strategy entails specializing by establishing a position of overall cost leadership, differentiation, or both, but only within a particular portion, or segment, or an entire market.

Formulating functional-level strategy

A. Strategies at the functional level are important in supporting a business-level strategy.

Strategy Implementation includes the various management activities that are necessary to put the strategy in motion, institute strategic controls that monitor progress, and ultimately achieve organizational goals.

MCQs

1. Technology is the knowledge, tool, equipment, and work technique used by an organization in delivering its product or service.

2. Human resources are the individuals who are members of the organization.

3. Reward systems include bonuses, awards, or promotions provided by others, as well as rewards related to internal experiences, such as feeling of achievement and challenge.

4. Decision processes include the means of resolving questions and problems that occur in organizations.

5. Organization structure is the formal pattern of interactions and coordination designed by management to link the tasks of individuals and groups in achieving organizational goals.

Managers need to be able to monitor progress through strategic control.

Strategic control systems include **information systems** that **provide feedback** on the **implementation and effectiveness of strategic plans**.

Lecture 28

ENTREPRENEURSHIP MANAGEMENT

1. Entrepreneurship the **process where individuals or a group of individuals risk time and money in pursuit of opportunities** to create value and grow through innovation regardless of the resources they currently control.

2. Entrepreneurial ventures vs. small businesses

Entrepreneurial ventures—**organizations that are pursuing opportunities**, characterized by innovative practices, and have growth and profitability as their main goals.

Small businesses—**organization that is independently owned**, operated, and financed; **has fewer than 100 employees**

Innovation—a **process of changing, experimenting, transforming, revolutionizing**, and a key aspect of entrepreneurial activity.

The latest figures show that **virtually all new net jobs** were **generated by firms with fewer than 500 employees**.

Writing a Business Plan:

A business plan is a document written by an entrepreneur or perspective owner that details the nature of business, the product or service, the customers, the competition, the production and marketing methods, the management, the financing and other significant aspects of proposed business venture.

Organizational change is **defined as any alteration in people, structure, or technology**. Change is ever present in organizations and cannot be eliminated.

FORCES FOR CHANGE

There are **external and internal forces** that **create the need for change**.

A. External forces that create the need for change

1. The marketplace 2. Government laws and regulations 3. Technology 4. Labor markets 5. Economic changes

B. Internal forces

1. Changes in strategy 2. Changes in the workforce 3. New equipment 4. Change in employee attitudes

Creativity versus Innovation

Creativity is the **ability to combine ideas in a unique way** or to make unusual associations between ideas.

Innovation is the **process of taking a creative idea** and **turning it into a useful product, service**, or method of operation.

MCQs

a. **Innovative organizations** actively **promote the training and development of their employees** so their knowledge remains current.

b. **Innovative organizations offer employees high job security**.

c. Innovative organizations encourage individuals to become **idea champions**—individuals, who actively support a new idea, build support, overcome resistance, and ensure that the innovation is implemented.

Lecture 29

ORGANIZING MCQs

Organizations are experimenting with different approaches to organizational structure and design.

Organizational structure can play an important role in an organization's success.

ORGANIZING—the second management functions—is how an organization's structure is created.

Organizing is the process of creating an organization's structure.

Organization structure is the formal pattern of interactions and coordination designed by management to link the tasks of individuals and groups in achieving organizational goals.

An organizational structure is the formal framework by which job tasks are divided, grouped, and coordinated.

Organization structure consists primarily of four elements:

- a. Job design b. Departmentalization c. Vertical coordination d. Horizontal coordination

Organization design is the process of developing an organization structure. It involves decisions about six key elements: work specialization, departmentalization, and chain of command, span of control, centralization/decentralization, and formalization.

The organization chart is a line diagram that depicts the broad outlines of an organization's structure.

1. The organization chart provides a visual map of the chain of command, the unbroken line of authority that ultimately links each individual with the top organizational position through a managerial position at each successive layer in between.
2. Nearly all organizations having just a few members have an organization chart.

Responsibility is the obligation or expectation to perform and carry out duties and achieve goals related to a position.

Authority is the right inherent in a managerial position to tell people what to do and to expect them to do it.

Accountability is the requirement of being able to answer for significant deviations from duties or expected results.

The fact that managers remain accountable for delegated work may cause them to resist delegation.

Delegation is assignment of part of manager's work to others along with responsibility and authority.

1. In addition to issues of accountability, managers may resist delegation for a number of reasons.

a. Managers may fear if subordinates fail. b. Managers may think they lack time to train subordinates. c. Managers may want to hold on to their power. d. Managers may enjoy doing the tasks subordinates could do. e. Managers may feel threatened by subordinates. f. Managers may not know how to delegate.

2. Subordinates may resist delegation because of fear of failure or of risk taking.

3. Failure to delegate may have serious negative consequences for a manager's career.

Lecture 30 MCQs

JOB DESIGN/SPECIALIZATION AND DEPARTMENTALIZATION

Building Blocks of Organizing

1. Job design

A. Job design is an essential part of organizational structure.

1. **Job design** is the specification of task activities, usually repeated on a regular basis, associated with each particular job.

a. Task activities need to be **grouped in reasonably logical ways** for each job.

2. **Work specialization** is the degree to which the work necessary to achieve **organizational goals is broken down into various jobs**.

In Work specialization the tasks in an **organization are divided into separate jobs**. Another term for this is **division of labor**.

1. **Work specialization** can be traced back to the writings of Adam Smith.

2. The **human diseconomies** from **work specialization** included **boredom, fatigue, stress, lowered productivity, poor quality of work, increased absenteeism, and higher job turnover**.

B. There are four approaches to job design.

1. **Job simplification** is the **process of configuring or designing jobs** so that job holders have only a small number of narrow, repetitive, activities to perform.

a. The concept of **job simplification was championed by economist Adam Smith and by Frederick Taylor**.

Types of Departmentalization MCQs

Departmentalization is the **clustering of individuals into units** and **units into departments** and larger units in order to facilitate **achieving organizational goals**.

1. An **organization design** is an **overall pattern of departmentalization**.

2. There are **four major patterns of departmentalization**.

a. The **functional structure groups** jobs into units **based upon similarity of expertise, skills, and work activities, e.g., marketing, accounting**.

b. The **divisional structure groups** jobs into units according to the **similarity of products** or markets.

c. The **hybrid structure** combines aspects of **both the functional and divisional forms**, with some jobs grouped into departments by functions and other grouped by products or markets.

d. The **matrix structure** superimposes a **horizontal set of divisional** reporting relationships onto a **hierarchical functional** structure.

Assessing Structural Alternatives

Each of the **four most common types of departmentalization** has major advantages and disadvantages.

A. Functional structure is a **type of departmentalization** in which **positions are grouped according to their main functional** (or specialized) area.

The functional form of departmentalization is more appropriate under certain circumstances.

- a. The organization is small or medium-sized.
- b. There is a limited number of related products or services, or a relatively homogeneous set of customers or clients.
- c. The organization is large and diverse, but the environment is stable.

B. Divisional structure is a type of departmentalization in which positions are grouped according to similarity of products, services, or markets.

1. Divisional structures are also called “self-contained structures”

2. The three major forms of divisional structure

- a. **Product divisions** are divisions created to concentrate on a single product or service or at least a relatively homogeneous set of products or services.
- b. **Geographic divisions** are divisions designed to serve different geographic areas.
- c. **Customer divisions** are divisions set up to service particular types of clients or customers.

The **divisional structure** is likely to be used in large organizations where substantial differences exist among products or services, geographic areas, or customers served.

C. Hybrid structure is a form of departmentalization that adopts parts of both functional and divisional structures at the same level of management.

1. Hybrid structures are adopted by large organizations to gain the advantages of functional and divisional structures.

- a. Functional departments are created to take advantage of resource utilization efficiencies, economies of scale, or in-depth expertise.
- b. Divisional departments are usually created to benefit from a stronger focus on products, services, or markets.

D. A matrix structure is a type of departmentalization that superimposes a horizontal set of divisional reporting relationships onto a hierarchical functional structure.

1. An organization with a matrix structure has a functional and a divisional structure at the same time.

2. Employees who work in a matrix organization report to two “bosses,” thus, the unity-of command principle is violated.

3. Organizations that adopt a matrix structure usually go through several identifiable structural stages.

- a. **Stage 1 is a traditional structure**, usually a functional structure, which follows the unity-of command principle.
- b. **Stage 2 is a temporary overlay** in which managerial integrator positions are created to handle issues of finite duration that involves coordinating across functional departments.
- c. **Stage 3 is a permanent overlay** in which the managerial integrator positions become permanent.
- d. **Stage 4 is a mature matrix**, in which matrix bosses have equal power. MCQs

E. Of particular interest are two new types of organizational structure that have recently emerged: the process structure and the networked structure.

1. **A process structure** is a type of departmentalization which groups positions into process team which are given beginning-to-end responsibility for that process or that specified work flow. The process structure is sometimes called the horizontal organization.

2. **The networked structure** is a form of organizing in which many functions are contracted out to other independent firms and **coordinated through the use of information technology networks**. **Sometimes the networked structure is called the virtual corporation** because it performs as **virtually one corporation**.

Lecture 31 MCQs

SPAN OF COMMAND, CENTRALIZATION VS. DE-CENTRALIZATION AND LINE VS. STAFF AUTHORITY

Methods of Vertical Coordination

Vertical coordination is the **linking of activities** at the **top of the organization** with those at the middle and lower levels in order to achieve organizational goals.

Formalization is the degree to which **written policies, rules, procedures, job descriptions, and other documents specify** what actions are (or are not) to be taken under a given set of circumstances.

1. **Most organizations need some degree of formalization** so that **fundamental decisions do not have to be made more than once** and so that inequities will be less likely to occur.
2. **Being too highly formalized can lead to cumbersome operations**, slowness in reacting to change, and **low levels of creativity and innovation**.

Span of management or span of control is the **number of subordinates** who report **directly to a specific manager**. MCQs

1. Managers should have neither too many nor too few subordinates.
2. Research indicates that there is **no universally correct span of management for all managers**. Rather, spans of management can be narrower or broader depending on the circumstances of each managerial job.

Spans of management determine the **number of hierarchical levels in an organization**.

a. A **tall structure** is one that has **narrow spans of management** and **many hierarchical levels** in an organization.

b. A **flat structure** is one that has **broader spans of management** and **few hierarchical levels** and wide spans of control.

The number of hierarchical levels in an organization affects organizational effectiveness.

a. **Downsizing** is the **process** of significantly **reducing the layers of middle management**, **expanding the spans of control**, and **shrinking the size of the work force**.

b. **Restructuring** is the process of **making a major change in organization structure** that often involves reducing management levels and also possibly **changing some major components of the organization** through divestiture and/or acquisition.

c. **Downsizing** must be planned and implemented **carefully**.

1) **Done well**, downsizing may result in **reduced costs**, **faster decision making**, more challenging jobs, fewer redundancies, and **increased innovation**.

2) **Done poorly**, downsizing may result in the **loss of valuable employees**, demoralized survivors, and an **ultimate decline in productivity**.

A **five-year study** showed **only increases in profits and productivity** in a relatively small number of **firms that downsized** while most had noticeable decreased in morale.

The degree to which **authority in an organization is centralized or decentralized** affects the pattern of decision making in the **organization**.

1. **Centralization** is the extent to which **power and authority** are **retained at the top organizational levels**.
 2. **Decentralization** is the extent to which **power and authority** are **delegated to lower levels**.
- MCQs**
3. An **organization is centralized** if decisions made at lower levels are **governed by a restrictive set of policies, procedures, and rules**, and if situations not explicitly covered are referred to higher levels for resolution.
 4. An **organization is decentralized** to the extent that **decisions made at lower levels** are made **within a general set of policies, procedures, and rules**, with decisions not covered left to the discretion of lower-level managers.

5. Centralization offers advantages.

- a. It is easier to coordinate the activities of various units and individuals. b. **Top managers have more experience and may therefore make better decisions.** c. **Top managers have a broader perspective on decision situations.** d. **Duplication of effort by various organizational units can be avoided.** e. **Strong leadership is promoted.**

6. Decentralization offers advantages.

a. **Top managers can concentrate upon major issues.** b. The jobs of lower-level employees are enriched by the challenge of making decisions. c. **Decisions can be made faster.** d. Individuals at lower levels may be closer to the problem and may be in a better position to make good decisions. e. Relatively independent units emerge as divisions, with more easily measured outputs.

7. Organizations should move toward a decentralized structure when:

a. The **organization is so large that top managers do not have the time or the knowledge to make all the major decisions.** b. Operations are geographically dispersed. c. **Top managers cannot keep up with complex technology.** d. The **environment is increasingly uncertain.**

The configuration of line and staff positions can affect the vertical integration in organizations.

MCQs

1. A **line position** is a position that **has authority and responsibility** for achieving the major goals of the organization.

2. A **staff position** is a position whose **primary purpose is providing specialized expertise and assistance** to line position.

3. Line authority differs from staff authority.

a. **Line authority** is authority that **follows the chain of command** established by the formal hierarchy.

b. Staff departments have **functional authority**, authority over others in the organization in matters **related directly to the staff departments' functions.**

c. Conflicts of line and functional authority.

- 1) **Staff personnel** may usurp **line authority**.
- 2) **Line personnel** may abdicate responsibility of staff departments.
- 3) **Conflicts may be avoided by clarifying lines of authority and encouraging team work.**

A trend had developed to **reduce the number of corporate-level staff** positions in **cost cutting moves**.

Methods of Horizontal coordination

Horizontal coordination is the **linking of activities** across **departments at similar levels**.

1. The **need for horizontal coordination** in an organization is **directly proportional to the information processing** needs of the organization.
2. In **facilitating information processing** across the organization, **horizontal coordination also promotes innovation**.
 - a. **Awareness of problems and opportunities** across areas may **spark creative solutions**.

A **managerial integrator** is a manager who is given the tasks of **coordinating related work** that **involves several functional** departments.

- 1) **Project managers** usually are **responsible for coordinating the work** associated with a **particular project** until its completion.
- 2) **Product managers** orchestrate the launching of **new products and services** and may then continue coordinating interdepartmental work related to the new products and services.
- 3) **Brand manager** coordinate organizational efforts **involving particular brand-name products**, most often within the soap, food, and toiletries industries.

Managerial integrators **do not have the line authority** and must **gain the cooperation of staff managers** to implement their proposals.

Lecture 32

ORGANIZATIONAL DESIGN AND ORGANIC VS. MECHANISTIC VS. VIRTUAL STRUCTURES

1. **Job rotation** is the practice of **periodically shifting workers** through a **set of jobs in a planned sequence**.
 - a. **One purpose of job rotation** is to **combat boredom**, but its **success is short-lived** if tasks are too simple.
 - b. **Another purpose of job rotation** is **cross training** so that there is **maximum flexibility in job assignments**.
 - c. **A potential problem** is that **rotating individuals** may be treated as **temporary helps**.
2. **Job enlargement** is the **allocation of a wider variety of similar tasks to a job** in order to make it more challenging.
 - a. **Job enlargement broadens job scope**, the **number of different tasks** an employee performs in a particular job.
3. **Job enrichment**, pioneered **by Frederick Herzberg**, is the **process of upgrading the job-task** mix in order to increase significantly the potential for growth, achievement, responsibility, and recognition.
 - a. **Job enrichment increases Job depth**, the **degree to which individuals can plan and control** the work involved in their jobs.
 - b. The **important job characteristics model** is a model developed to guide job enrichment efforts that include consideration of **core job characteristics, critical psychological states, and outcomes**.
 - c. The **job characteristics model has five core job characteristics**.
 - i. **Skill variety** is the extent to which the job requires a number of activities that **require different skills**.
 - ii. **Task identity** is the degree to which the job allows the completion of a major identifiable piece of work, rather than just a fragment.
 - iii. **Task significance** is the extent to which the **worker sees the job output** as having an important impact on others.
 - iv. **Autonomy** is the **amount of discretion allowed in determining schedules** and work methods for **achieving the required output**.

- v. **Feedback** is the degree to which the job provides clear, timely information about performance results.
- d. According to the job characteristics model, the core characteristics will increase worker motivation only if workers experience three critical psychological states.
- e. The job characteristics model is likely to be used successfully under two conditions.
 - i. Workers have high growth-need strength, the degree to which an individual needs personal growth and development on the job.
 - ii. Workers are satisfied with other aspects of the job context, i.e. supervision, pay, coworkers, and job security.

“best” design depends on four contingency variables: the organization’s strategy, size, technology, and degree of environmental uncertainty.

There are two generic models of organizational design.

1. A **mechanistic organization** is an organizational structure that is characterized by high specialization, rigid departmentalization, narrow spans of control, high formalization, a limited information network, and little participation in decision making by low-level employees.
2. An **organic organization** is a structure that is highly adaptive and flexible with little work specialization, minimal formalization and little direct supervision of employees.
3. **When is each design favored?** It “depends” on the contingency variables.

Contingency factors—appropriate structure depends on four contingency variables:

1. **Strategy and structure.** One of the contingency variables that influence organizational design is the organization’s strategy. Most current strategy-structure frameworks tend to focus on three strategy dimensions:
 - a. **Innovation**—needs the flexibility and free flow of information of the organic organization
 - b. **Cost minimization**—needs the efficiency, stability, and tight controls of the mechanistic organization
 - c. **Imitation**—which uses characteristics of both mechanistic and organic
2. **Size and structure.** There is considerable historical evidence that an organization’s size significantly affects its structure.

Technology also has been shown to affect an organization’s choice of structure.

- a. Every organization uses some form of technology to transform inputs into outputs.
- b. Three distinct technologies had increasing levels of complexity and sophistication.
 - i. **Unit production** is the production of items in units or small batches.
 - ii. **Mass production** is large-batch manufacturing.
 - iii. **Process production** is continuous-process production.
3. **Environmental uncertainty and structure**

The final contingency factor that has been shown to affect organizational structure is environmental uncertainty.

One way to manage environmental uncertainty is through adjustments in the organization’s structure.

COMMON ORGANIZATIONAL DESIGNS

A. Traditional organizational designs.

- a. A **simple structure** is an organizational design with low departmentalization, wide spans of control, authority centralized in a single person, and little formalization.
 - i. When contingency factors favor a bureaucratic or mechanistic design, one of two options is likely to be used.

- b. One option expands functional departmentalization into the **functional structure**, which is an organizational design that groups similar or related occupational specialties together.
- c. The other option is the **divisional structure**, which is an organizational structure made up of autonomous, self-contained units.

B. Contemporary organizational designs

- a. **Team-based structures:** Which is an organizational structure made up of work groups or teams that performs the organization's work.
- b. **Project and matrix structures:**
 - i. **Matrix organization** that assigns specialists from different functional departments to work on one or more projects.
 - ii. **Project structure**, which is a structure in which employees are permanently assigned to projects.
- c. **Autonomous Internal Units:** A design in which there are independent, autonomous decentralized business units, each with its own products, clients, competitors, and profit goals.
- d. **The Boundary less Organization:** which describes an organization whose design is not defined by, or limited to the horizontal, vertical, or external boundaries imposed by a predefined structure.
- e. **Learning Organization:** An organization that facilitate the life long learning and development of its employees while transforming itself to respond to changing demands and needs of market.

Lecture 33 MCQs

LEADING AND LEADERSHIP MOTIVATING SELF AND OTHERS

“Everything that we give to our workers gets returned to us in terms of efficiency, quality, loyalty, and innovation.”

Motivation is the willingness to exert high levels of effort to reach organizational goals, conditioned by the effort's ability to satisfy some individual need.

- A. Effort is a measure of intensity or drive.
- B. A need is an internal state that makes certain outcomes appears attractive. An unsatisfied need creates tension that stimulates drives within an individual.

Motivation is the force that energizes behavior, gives direction to behavior, and underlies the tendency to persist.

Performance is a function of ability, motivation and working conditions.

1. Inner needs and cognitions lead to behaviors.
2. Appropriate behaviors may result in rewards
3. Lack of rewards may lead to unfulfilled needs, un-reinforced behaviors

Intrinsic Motivators: A person's internal desire to do something for his satisfaction, respect, prestige or loyalty.

Extrinsic Motivators: Factors of motivation that comes from outside (environment) or organization like pay, bonuses, tangible benefits etc

SUGGESTIONS FOR MOTIVATING EMPLOYEES

Link rewards to performance by making rewards contingent on desired levels of performance.

The allocation of performance-based increases, piecework bonuses, and other pay incentives is important in determining employee motivation.

Lecture 34 MCQs

MASLOW'S NEEDS THEORY AND ITS ANALYSIS

Maslow's Need Theory

Theories of motivation is the hierarchy of need theory put forth by Abraham Maslow. one of the most widely known theories of motivation.

1 Maslow's hierarchy of needs from the most basic to the highest.

- a. Physiological needs are basic and include needs for food, water, and shelter.
- b. Safety needs pertain to the desire to be safe, secure and free from threats to our existence. These needs can be satisfied in the workplace by job continuity, or retirement benefits.
- c. Belongingness needs involve the desire to affiliate with and be accepted by others. These needs are satisfied for most people by family and community relationship outside of work and friendship on the job.
- d. Esteem needs are related to the two-pronged desire to have a positive self-image and to have our contributions valued and appreciated by others.
- e. Self-actualization needs pertain to the requirement of developing our capabilities and reaching our full potential. Maslow regards this as the highest need in his hierarchy.

2 Maslow suggests that the five need categories constitute a hierarchy.

Analysis and Weakness of Theory

1. Five levels of need are not always present.
2. Order of needs and hierarchy may not be the same for all employees.
3. There are certainly cultural differences which the theory did not take care.
4. Analyzing the theory in country and cultural context, for example in China, the hierarchy of needs found was different than Maslow's theory.

Lecture 35 MCQs

OTHER NEED AND COGNITIVE THEORIES OF MOTIVATION

McGregor's Theory X and Theory Y

This theory was developed by Douglas McGregor and describes two distinct views of human nature.

1. Theory X was the assumption that employees dislike work, are lazy, seek to avoid responsibility, and must be coerced to perform.
2. Theory Y was the assumption that employees are creative, seek responsibility, and can exercise self-direction.
3. Theory X assumed that lower-order needs (Maslow's) dominated individuals, and Theory Y assumed that higher-order needs dominated.

Motivation-Hygiene Theory

This is the theory developed by Frederick Herzberg that suggests that intrinsic factors are related to job satisfaction and motivation, and extrinsic factors are associated with job dissatisfaction. The basis of Herzberg's theory is that he believed that the opposite of satisfaction was not dissatisfaction.

Frederick Herzberg's two-factor theory states that there are **only two categories of needs**.

Hygiene factors are **factors that eliminate dissatisfaction**. They include things such as supervision, company policy, **salary, working conditions, security**.

Hygiene factors are necessary to **keep workers away from feeling dissatisfied**. There are **several hygiene factors**.

- a. **Pay** b. **Working** conditions c. Supervisors d. Company policies e. Benefits

Motivators are factors that **increase job satisfaction and hence motivation**. They include things such as **achievement, recognition, responsibility, advancement**.

Motivator factor can only lead workers to feel satisfied and motivated.

- a. **Achievement** b. **Responsibility** c. Work itself d. Recognition e. Growth and achievement

ERG Theory

Clayton Alderfer's ERG theory combines **Maslow's five needs** into **three need levels: existence, relatedness and growth**.

1. **Existence needs** include the **various forms of material and physiological desires**, such as **food and water**, as well as such work-related forms as pay, fringe benefits and physical working conditions.
2. **Relatedness needs** **address our relationships** with significant others, such as **families, friendship groups**, work groups and professional groups.
3. **Growth needs** impel **creativity and innovation**, along with the desire to have a productive impact on our surroundings.
4. **ERG needs differ in concreteness**, i.e. the **degree to which their presence or absence can be verified**.
5. The **satisfaction-progression principle** is a principle that states that **satisfaction of one level of need** encourages concern **with the next level**.
6. **ERG theory is more flexible in acknowledging** that **some individuals' needs** may occur in a somewhat different order than the posited by the ERG framework.
7. ERG theory incorporates a **frustration regression principle** which **states that if we are continually frustrated** in our attempts to satisfy a higher-level need, we may cease to be concerned about that need.

Acquired-Needs Theory **MCQs Important**

McClelland's acquired-needs theory argues that **our needs are acquired or learned on the basis of our life experience**.

1. The **Thematic Apperception Test (TAT)** measures the **needs for achievement, affiliation, and power**.
2. The **need of achievement (nAch)** is the desire to **accomplish challenging tasks and achieve a standard of excellence in one's work**.
3. The **need for affiliation (nAff)** is the desire to **maintain warm, friendly relationships** with others.
4. The **need for power (nPow)** is the desire to **influence others** and **control one's environment**.
 - a. **Personal power** is the **need for power** in which **individuals want to dominate others** for the **sake of demonstrating their ability** to wield power.
 - b. **Institutional power** is the **need for power** in which **individuals focus on what they can do to solve problems** and further organizational goals.
5. **Need for achievement** may actually be more important than **need for power** in running small or large, decentralized companies.

6. It may be possible to foster the needs for achievement and for institutional power through training.

Significance for Managers

1. Need theories are compatible in pointing out the importance of higher-level needs as a source of motivation.
2. The frustration-regression aspect of ERG theory may have serious implications for organizations.

Equity Theory

Equity Theory, developed by J. Stacey Adams, says that an employee perceives what he or she got from a job situation (outcomes) in relation to what he or she put into it (inputs) and then compares the inputs-outcomes ratio with the inputs-outcomes ratios of relevant others and finally corrects any inequity.

1. The referents are the persons, systems, or selves against which individuals compare themselves to assess equity.
2. Equity theory recognizes that individuals are concerned with their absolute rewards as well as the relationship of those rewards to what others receive.
3. What will employees do when they perceive an inequity?
 - a. Distort either their own or others' inputs or outcomes.
 - b. Behave in some way to induce others to change their inputs or outcomes.
 - c. Behave in some way to change their inputs or outcomes.
 - d. Choose a different comparison person.
 - e. Quit their job

Lecture 36 MCQs

EXPECTANCY, GOAL SETTING AND RE-ENFORCEMENT THEORIES

Expectancy Theory

Expectancy Theory is the theory that an individual tends to act in a certain way based on the expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual.

Three relationships are important to this theory.

1. Effort-performance linkage (expectancy) is the probability perceived by the individual that exerting a given amount of effort will lead to a certain level of performance.
2. Performance-reward linkage (instrumentality) is the degree to which an individual believes that performing at a particular level is instrumental in, or will lead to, the attainment of a desired outcome.
3. Attractiveness of the reward (valence) is the importance that the individual places on the potential outcome or reward that can be achieved on the job.
4. The key to understanding this theory is to understand an individual's goal and the linkage between effort and performance, between performance and rewards, and between rewards and individual goal satisfaction.

Goal-Setting Theory

This theory says that specific goals increase performance, and difficult goals, when accepted, result in higher performance than easy goals.

Goal-setting theory deals with people in general; achievement theory is based only on people who have a high need for achievement.

The conclusions of goal-setting theory apply to those who accept and are committed to the goals.

Difficult goals will lead to higher performance only if they are accepted.

What contingencies exist in goal-setting theory? There are four contingencies we need to know about.

- a. Feedback influences the goal-performance relationship.
 - b. Goal commitment is another contingency. Commitment is most likely to occur when goals are made public
 - c. Self-efficacy is another contingency and refers to an individual's belief that he or she is capable of performing a task. The higher your self-efficacy, the more confidence you have in your ability to succeed in a task.
 - d. The last contingency that affects goal setting is national culture.
- MCQs

Reinforcement Theory

Reinforcement Theory is counter to goal-setting theory. It proposes that behavior is a function of its consequences.

Reinforcement theory ignores factors such as goals, expectations, and needs.

Open Book Management MCQs

This is a motivational approach in which an organization's financial statements (the "books") are opened to and shared with all employees.

1. The goal of open-book management is to get employees to think like an owner.
2. Employees may be treated as business partners so productivity and profitability is enhanced.

Pay-for-performance programs are compensation plans that pay employees on the basis of some performance measure.

1. Performance-based compensation is probably most compatible with expectancy theory.
2. The increasing popularity of pay-for-performance programs can be explained in terms of both motivation and cost control.

Integrating Contemporary Theories of Motivation

1. The basic foundation is the simplified expectancy model. 2. The model also considers the achievement-need, reinforcement and equity theories. 3. Rewards also play an important role in the model.

Lecture 37 MCQs

MOTIVATING KNOWLEDGE PROFESSIONALS LEADERSHIP TRAIT THEORIES

Motivating the "New Workforce i.e. Knowledge Professionals"

- a. Professionals are different from nonprofessionals and have different needs.
- b. Money and promotions are typically low on the motivation priority list for professionals. Job challenge is usually ranked high as is support and the feeling that they're working on something important.

Special challenges in motivating professionals include their long-term commitment to their field of expertise.

Leadership

Leadership is what makes things happen in organizations.

MANAGERS VERSUS LEADERS

Managers are appointed and have legitimate power within the organization.

Leaders are those persons who are able to influence others and who possess managerial authority.

Leadership, then, is the ability to influence a group toward the achievement of goals

Power is the capacity to affect the behavior of others. Important MCQs

There are different types of power depending upon their sources originally identified by French and Raven.

1. **Legitimate power** stems from a position's placement in the managerial hierarchy and the authority vested in the position.
2. **Reward power** is based on the capacity to control and provide valued rewards to others.
3. **Coercive power** is based on the ability to obtain compliance through fear of punishment.
4. **Expert power** is based on the possession of expertise that is valued by others.
5. **Information power** result from access to and control over the distribution of important information about organizational operations and future plans.
6. **Referent power** results from being admired, personally identified with, or liked by others.

The different types of power can engender different levels of subordinate motivation.

1. **With commitment**, employees respond enthusiastically and exert a high level of effort toward organizational goals.
 - a. **Commitment is the most common outcome of referent power and expert power.**
 - b. **Commitment is least likely** to result from the use of coercive power.
2. **With compliance**, employees exert at least minimal efforts to complete directives, but are likely to deliver average, rather than stellar, performance.
 - a. **Compliance** is the most likely outcome of the use of legitimate power, information power, and reward power.
 - b. **Compliance is a possible outcome of coercive power** if used in a helpful way or of referent power or expert power when some element of apathy is present.
3. **With resistance**, employees may appear to comply, but actually do the absolute minimum, possibly even attempting to sabotage the attainment of organizational goals.
 - a. **Resistance is a likely outcome of coercive power.**
 - b. **Resistance is a possible outcome of other types of power if used inappropriately.**

Searching for Leadership Traits

A. Trait Theories

Identifying a set of traits that would always differentiate leaders from non-leaders proved impossible.

B. Traits are distinctive internal qualities or characteristics of an individual such as physical characteristics (e.g., height, weight, appearance, energy), personality characteristics (e.g., dominance, extroversion, originality), skills and abilities (e.g., intelligence, knowledge, technical competence), and social factors (e.g., interpersonal skills sociability, and socioeconomic position).

C. Recent efforts suggest that the trait approach may have been abandoned prematurely.

Lecture 38 MCQS

BEHAVIORAL AND SITUATIONAL MODELS OF LEADERSHIP

Four main leader behavior studies are carried out.

a. **University of Iowa Studies**—Kurt Lewin and associates—studied three leadership styles: autocratic, democratic, and laissez-faire.

b. The **Ohio State Studies** identified two important dimensions of leader behavior—**initiating structure** and **consideration**.

c. **University of Michigan Studies** identified two dimensions of leader behavior—**employee oriented** and **production oriented**.

d. The **Managerial Grid** is a **two-dimensional grid** for appraising leadership styles using “**concern for people**” and “**concern for production**” as dimensions.

1. **Three types of leadership behavior styles were identified.**

a. **Autocratic leaders** tend to **make unilateral decisions**, dictate work methods, limit worker knowledge about goals to just the next step to be performed, and **sometimes give feedback** that is punitive.

b. **Democratic leaders** tend to **involve the group in decision making**, let the group determine work methods, make overall goals known, and **use feedback as an opportunity** for helpful coaching.

c. **Laissez-faire leaders** generally give the **group complete freedom**, provide necessary materials, participate only to answer questions, and **avoid giving feedback**.

Michigan Studies

The **Michigan studies** compared leadership within groups already identified as effective or as ineffective.

1. A **continuum** was developed from **employee-centered** to **job-centered approaches**.

2. With the **employee-centered approach**, managers channel their **main attention to the human aspects** of subordinates' problems and to the development of an effective work group dedicated to high performance goals.

3. With the **job-centered approach** (or production-centered approach), **leaders divide the work into routine tasks, determine work methods**, and closely **supervise workers to ensure that the methods are followed** and productivity standards are met.

4. **High-producing work units** tended to have **job-centered supervisors**.

Ohio State Studies

Researchers at the **Ohio State University** developed a questionnaire to measure leaders' behaviors and to correlate them with group performance and satisfaction.

1. **Two behaviors were identified as particularly important.**

a. **Initiating structure** is the degree to which a **leader defines his or her own role and the roles of subordinates in** terms of achieving unit goals.

b. **Consideration** is the degree to which a **leader builds mutual trust with subordinates**, respects their ideas, and shows concern for their feelings.

The **Mouton-Blake Managerial Grid** uses **concern for people** and **concern for production** as its two axes.

1. **Used a training device, the grid enables managers to understand their own styles.**

A. Situational Theories

1. **Situational theories are theories that emphasize situations.**
2. **Contingency theories are theories of leadership** because they hold that appropriate leader traits or **behaviors are contingent, or dependent**, on relevant situational characteristics.

B. Fielder's contingency model is a **situational approach** originally **developed by Fred Fielder** and his associates.

1. A **leader's LPC orientation** is a **personality trait** measured by the **least preferred coworker (LPC)** scale.

2. The **LPC scale is a 1 to 8 rating by the leader** of "the person with whom the leader can work least well."

a. **Low-LPC leaders** describe a least-preferred coworker in relatively **negative terms and** are likely to be task-motivated.

b. **High-LPC leaders** describe a least-preferred coworker in relatively **positive terms** and are likely to be people-motivated.

1. The **most important situational variable** is **leader-member relations**, i.e., the **extent to which the leader has the support of group members**.

2. **Task structure** is the **extent to which a task is clearly specified with regard to goals, methods, and standards of performance**.

3. **Position power** is the **amount of power** that the **organization gives the leader** to **accomplish necessary tasks**.

Low-LPC leaders do best in situations of **either high favorability** or extremely **low favorability**.

High-LPC leaders do best in situations of **moderate favorability**

C. The **normative leadership model** is a **model that helps leaders assess important situational factors**.

1. **Five types of management method for solving group problems** are delineated.

a. **Autocratic I (AI):** You **solve the problem** or make the decision **yourself using present information**.

b. **Autocratic II (AII):** You **obtain necessary information from subordinates** without involving them in the decision, and **make the decision yourself**.

c. **Consultative I (CI):** You **share the problem with the relevant subordinates individually**, then you **make a decision** which may or may not be influenced by subordinates.

d. **Consultative II (CII):** You **obtain ideas and suggestions from subordinates** in a **group session**, but **make the decision yourself**.

e. **Group II (GII):** You **share the problem with your subordinates as a group** and **coordinate their efforts to devise a solution**.

D. The situational leadership theory, **developed by Paul Hersey and Ken Blanchard**, is on the premise that **leaders need to alter their behaviors depending on the readiness of followers**.

1. **Two leader behaviors** are considered to be independent dimensions.

a. **Task behavior** is the extent to which the **leader engages in spelling out the duties and responsibilities of an individual** or group.

b. **Relationship behavior** is the extent to which the **leader engages in two-way or multi-way communication**.

2. The **four levels of readiness defined** along a continuum from low to high readiness prescribe the appropriate leadership style.

a. **Telling** is used in **situations of low readiness**, when **followers are unable and also unwilling** or too insecure to take responsibility for a given task.

b. **Selling** is used for **low to moderate readiness**, when **followers are unable to take responsibility**, but **are willing or** feel confident to do so.

c. **Participating** is used with **moderate to high readiness**, when **followers are able to take responsibility, but are unwilling** or too insecure to do so.

d. **Delegating** is used for **high readiness**, when **followers are able and willing or confident enough to take appropriate responsibility**.

3. Leaders should help increase the **task-related readiness** of their followers as quickly as feasible by adjusting their **own leadership styles**.

The **path-goal theory of leadership** attempts to explain **how leader behavior impacts the motivation and job satisfaction** of subordinates.

1. **Path-goal theory relies** heavily on the **expectancy theory of motivation**.

2. **Four major leader behaviors** can be used to **affect subordinate perceptions of paths and goals**.

a. **Directive leader behavior** involves **letting subordinates know what is expected of them**, providing guidance about work methods, developing work schedules, identifying work evaluation standards, and indicating the basis for outcomes or rewards.

b. **Supportive leader behavior** entails **showing concern for the status**, well-being, and **needs of subordinates**; doing small things to make the work more pleasant; and being friendly and approachable.

c. **Participative leader behavior** is characterized by **consulting with subordinates, encouraging their suggestions**, and carefully considering their ideas when making decisions.

d. **Achievement-oriented leader behavior** involves **setting challenging goals**, expecting subordinates to perform at their highest level, and conveying a high degree of confidence in subordinates.

1. **Subordinate characteristics** include personality traits, skills, abilities, and needs.

2. **Context characteristics** include the task itself, the work group, and the organization's formal authority system.

a. **Effort-performance** is the probability that **our efforts will lead to the required performance level**.

b. **Performance-outcome** expectancy is the probability that our **successful performance will lead to certain outcomes or rewards**.

c. **Valence** is the **anticipated value of the outcomes or rewards**.

Lecture 39 MCQS

STRATEGIC LEADERSHIP MODELS

1. **Transactional leaders** are leaders who **guide or motivate** their followers in the direction of established goals by **clarifying role and task requirements**.

2. **Transformational leaders** are **leaders** who provide individualized consideration and intellectual stimulation and **possess charisma**.
3. **Transformational leadership is built on top of transactional leadership**.
4. The evidence supporting the superiority of transformational leadership over the transactional variety is overwhelmingly impressive.
 - a. **Transformational leaders** **motivate subordinates** to perform at expected levels by helping them recognize **task responsibilities**, **identify goals**, acquire confidence about meeting desired performance levels, and understand how their needs and the rewards that they desire are linked to goal achievement.
 - b. **Transformational leaders** motivate individuals to perform beyond normal expectations by inspiring subordinates to focus on broader missions that transcend their own immediate self interests, to concentrate on intrinsic higher-level goals (such as safety and security), and to have confidence in their abilities to achieve the extraordinary missions articulated by the leadership.
 - c. **Transformational leadership** is not a substitute for transactional leadership; it is an enhancement.
 - d. **Charisma** is the **leader's ability** to **inspire pride, faith, and respect**; to recognize what is really important, and to articulate effectively a sense of mission, or vision, that inspires followers. – **Charisma was once thought to be an inborn personality trait**.

Charismatic-Visionary Leadership

Charismatic leadership theory is an **extension of attribution theory** and suggests that **followers make attributions of heroic or extraordinary leadership abilities** when they observe certain behaviors.

Visionary leadership is described as **going beyond charisma** with the **ability to create and articulate a realistic, credible**, attractive vision of the future for an organization or organizational unit that grows out of and improves on the present.

What skills do visionary leaders have?

a. The ability to explain the vision to others. b. The ability to express the vision not just verbally but through behavior. c. The ability to extend or apply the vision to different leadership contexts.

Another important contemporary issue for leaders is **creating a culture of trust and credibility**.

1. **Credibility** is the **degree to which followers perceive someone as honest**, competent, and able to inspire.

2. **Trust** is the **belief in the integrity, character, and ability of a leader**.

3. Research has **identified five dimensions that make up the concept of trust**.

- a. **Integrity** (honesty and truthfulness)
- b. **Competence** (technical and interpersonal knowledge and skills)
- c. **Consistency** (reliability, predictability, and **good judgment in handling** situations)
- d. **Loyalty** (willingness to **protect a person, physically** and emotionally)
- e. **Openness** (willingness to **share ideas and information** freely)

Eight suggestions leaders built trust

a. Practice openness. b. Be fair. c. Speak your feelings. d. Tell the truth. e. Show consistency. f. g. Fulfill your promises. Maintain confidences. h. Demonstrate competence.

Gender and Leadership

- a. **Women** tend to **adopt a more democratic or participative style** and a **less autocratic** or **directive style** than **men** do.
- b. **Women are more likely to encourage participation, share power and information**, and attempt to enhance followers' self-worth.
- c. **Men are more likely to use a directive, command-and-control style.**
- d. **Men use transactional leadership**, handing out **rewards for good work** and **punishment for bad.**
- e. Which leadership style is effective depends on the situation. **Gender simply provides a behavioral tendency in leadership style.**

Lecture 40 MCQS

UNDERSTANDING GROUP DYNAMICS IN ORGANIZATIONS

A **group** is defined as **two or more interacting and interdependent individuals** who come together to achieve particular objectives.

Teamwork occurs when **groups are able to work efficiently and effectively together to achieve organizational goals.**

There are a number of types of work groups

1. A **formal group** is a **group officially planned and created by an organization** for a **specific purpose.**

A **command or functional group is** a formal group consisting of a **manager** and **all the subordinates who report to that manager.**

1) Each identifiable work group **consisting of manager and subordinates** is a **command group.**

2) A **linking is an individual who provides a means of coordination between command groups at two different levels by** fulfilling a supervisory role in the lower-level group and a subordinate role in the higher-level group.

2. **Informal groups** are **natural social formations** that appear in the work environment. An **informal group** is a **group** that is **established by employees, rather than by the organization**, in order to serve group members' interests or social needs. **Informal groups are unplanned groups.**

a. An **interest group is an informal group** created to facilitate employee pursuits of **common concern.**

b. A **friendship group is an informal group** that evolves primarily to **meet employee social needs.**

A special kind of group behavior is found in group meetings.

Groups can also help facilitate creativity and innovation in the organization.

Some of the major mechanisms that organizations use to encourage the creative and innovative capacity of groups include the use of **task forces, or ad hoc committees, and teams, particularly entrepreneurial and self-managing teams.**

Lecture 41 MCQS

GROUP CONCEPTS, STAGES OF GROUP DEVELOPMENT AND TEAM EFFECTIVENESS

Group leaders often assume **task roles.**

Group task roles are roles that help a group develop and accomplish its goals.

An **informal leader** is an individual, **other than the formal leader**, who **emerges from a group**, has **major influence**, and is perceived by group members as a leader.

D. Group Size is an important input into the functioning of groups.

1) In **two-person groups**, or dyads, **members are either at odds frequently or are extremely polite to avoid differences.**

2) **Three-person groups** frequently lead to **two-against-one situations.**

3) **Even-numbered groups** often lead to **deadlocks**

Groups of five to seven are ideal **because of enough input and the lack of deadlocks.**

Large groups beyond seven and more so beyond eleven, pose **difficulties.**

a. **Social loafing** is the **tendency of individuals to expend less effort** when **working in groups** than when working alone.

b. **Free riders** are individuals **who engage in social loafing** in a group

c. **Individualism**, a condition where by **personal interests are stronger than the needs of the group**, often leads to social loafing.

Work Group Processes

Positive synergy is the **force** that results **when the combined gains** from group interaction (as opposed to individuals operating alone) **are greater than group process losses.**

Negative synergy is the **force** that results **when group process losses are greater than any gains** achieved from combining the forces of group members.

Norms are **expected behaviors** sanctioned by a group that regulate and **foster uniformity** in member behaviors.

Norms typically develop through one of four mechanisms.

a. **Explicit statements** made by supervisors and coworkers can **provide information about expectations.**

b. **Critical events** set precedents for the future.

c. **Primacy** is the phenomenon that the **first behavior pattern that** emerges in a group tends to establish **group expectations.**

d. **Carryover behaviors** are those **that arise among individuals** who have worked together in other groups.

C. **Group cohesiveness** is the **degree to which members are attracted to a group**, are **motivated to remain in the group**, and are mutually influenced by one another.

A **high degree of cohesiveness** in a group can have consequences on group **performance.**

Performance levels may be either **very high or very low**, depending upon the **group's norms and cohesiveness.**

Stages of Groups Development MCQs

1. It has been proposed that groups progress through a series of **five stages**

a. **Stage 1: Forming** occurs as group members **attempt to assess the ground rules** that will apply to a task and to group interaction.

- b. **Stage 2: Storming** occurs as group members **experience conflict with one another** as they locate and attempt to resolve differences of opinion regarding key issues.
- c. **Stage 3: Norming** occurs as **group members begin to build group cohesion**, as well as develop a consensus about norms for performing a task and relating to one another.
- d. **Stage 4: Performing** occurs as **energy is channeled toward a task** and as norms support teamwork.
- e. **Stage 5: Adjourning** occurs as group members **prepare for disengagement** as the group nears successful completion of its goals.

Effectiveness and Efficiency of Group Decision Making.

Individual decisions are quicker in terms of **speed**.

The **effectiveness of group decisions** tends to be influenced by the **size of the group**. Groups should not be too large.

Techniques for Improving Group Decision Making. MCQs

- a. **Brainstorming** is an **idea-generating process** that encourages alternatives while withholding criticism.
- b. **Nominal group technique** is a group decision-making technique in which group members are **physically present but operate independently**.
- c. **Electronic meetings** are one way that decision-making groups can **interact by way of linked computers**.

TURNING GROUPS INTO EFFECTIVE TEAMS

Work teams are formal groups made up of interdependent individuals, responsible for attaining goals.

There are different types of teams.

- 1. Teams can vary in their purpose or goal.
- 2. The **duration of a team** tends to be either **permanent or temporary**.
- 3. **Team membership** can be either **functional or cross-functional**.
- 4. Finally, teams can either be supervised or self-managed.
- 5. Given these four characteristics, some of the **most popular types of teams** used today include the following:

- MCQs** a. A **functional team** is a type of work team that is **composed of a manager** and his or her subordinates from a **particular functional area**.
- b. A **self-directed or self-managed team** is one that **operates without a manager** and is responsible for a complete work process or segment that delivers a product or service to an **external or internal customer**.
- c. A **virtual team** is one that **uses computer technology** to link physically dispersed members in order to achieve a common goal.
- d. Finally, a **cross-functional team** is one in which **individuals who are experts in various specialties** (or functions) **work together** on various organizational tasks.

Eight characteristics associated with effective teams. MCQs

1. Clear goals 2. Relevant skills 3. Mutual trust 4. Unified commitment 5. Good communication 6. Negotiating skills 7. Appropriate leadership 8. Internal and external support

An **entrepreneurial team** is a group of **individuals with diverse expertise** and **backgrounds** who are **brought together to develop** and implement innovative **ideas** aimed at creating new products or services or significantly improving existing ones.

Self-managed teams, or **autonomous work groups**, are work groups given responsibility for a task area **without day-to-day supervision** and with authority to influence and control both group membership and behavior.

Managing Conflict in Groups

A. **Conflict** is a **process** in which **one party perceives** that its interests are being opposed or adversely affected by one or more other parties.

B. **Conflict** can have **constructive as well as destructive consequence**.

C. There are a **number of causes of conflict**.

1. **Two types of task interdependence** can lead to **conflict**. MCQs

a. **Sequential interdependence** occurs when **one individual** or work unit is **heavily dependent** on another.

b. **Reciprocal interdependence** occurs **when individuals** or work units **are mutually interdependent**.

Five modes may be adopted to resolve conflicts. MCQs

a. **Avoidance** involves **ignoring or suppressing a conflict** in the hope that it will either go away or not become too disruptive.

b. **Accommodation** focuses on **solving conflicts** by **allowing the desires of the other party** to prevail.

c. **Competition** involves **attempting to win a conflict** at the other party's expense.

d. **Compromise** aims to **solve conflict issues** by **having each party give up some desired outcomes** in order to get other desired outcomes.

e. **Collaboration** involves devising solutions that **allow both parties to achieve their desired outcomes**.

Lecture 42 MCQs

UNDERSTANDING MANAGERIAL COMMUNICATION

The Nature of Managerial Communication

A. **Communication** is the transfer and understanding of meaning.

C. **Managerial communication** encompasses **both interpersonal communication** (between two or more people) and **organizational communication** (all the patterns, networks, and system of communication within an organization).

D. **Communication** and **associated interpersonal processes** are important ingredients of **organizational effectiveness**.

E. **Communication is the exchange of messages between people for the purpose of achieving common meanings**.

F. **Managers use two types of communication** in their work.

1. **Verbal communication** is the **use of words to communicate**.

a. **Written communication** includes **letters, memoranda, reports, newsletters, policy manuals, etc.**

b. Disadvantage includes the fact that the conversations may be time-consuming and difficult to terminate, and that additional time may have to be spent to document what was said.

2. **Nonverbal communication** is **communication by means of elements and behaviors** that are not coded into words.

3. **Nonverbal Communication is communication transmitted without words**. The **best-known types of nonverbal communication** are body language and verbal intonation.

a. **Body language** refers to **gestures, facial expressions, and other body movements** that convey meaning.

b. **Verbal intonation** refers to the **emphasis someone gives to words or phrases that convey meaning**.

The communication process

1. The **sender** is the **initiator of the message**.

2. **Encoding** is the **process of translating the intended meaning into symbols**.

3. The **message** is the **encoding-process outcome**, which consists of verbal and nonverbal symbols that have been developed to convey meaning to the receiver.

4. The **receiver** is the person with whom the message is exchanged.

Decoding is the **process of translating the symbols into the interpreted message**.

Noise is any factor in the communication process that **interferes** with exchanging messages and achieving common meaning.

Feedback is the **basic response of the receiver to the interpreted message**.

The **receiver** becomes the **sender during feedback**. 2) **Feedback** provides **preliminary information** to the **sender** about the success of the communication.

One-way communication is the **communication** that results when the communication process **does not allow for feedback**.

Two-way communication is the communication that results when the communication process **explicitly includes feedback**.

Jargon is specialized terminology or **technical language** that **members of a group use to communicate among themselves**.

Active listening is **listening for full meaning without making judgments** or interpretations, and demands total concentration.

Formal versus Informal Communication

1. **Formal communication** refers to communication that follows the official chain of command or is part of the communication required to do one's job.
2. **Informal communication** is **organizational communication** that is **not defined by the organization's** structural hierarchy.
 - a. Informal communication systems permit employees to satisfy their needs for social interaction.
 - b. Informal communication systems can improve an organization's performance by creating alternative, and frequently faster and more efficient, channels of communication.

Direction of Communication Flow

1. **Downward communication**—**flows from a manager to employees** and is used to inform, direct, coordinate, and evaluate employees.
2. **Upward communication** **flows from employees to managers**
 - a. Upward communication can be used in order to keep managers aware of how employees feel about their jobs, their coworkers, and the organization in general.
3. **Lateral communication** takes place among **employees on the same organizational level**.
4. **Diagonal communication** is communication that **cuts across both work areas** and organizational levels.
 - a. The increased use of e-mail facilitates diagonal communications.
 - b. Diagonal communication has the potential to create problems if employees don't keep their managers informed.

Lecture 43 MCQS

COMMUNICATION NETWORKS AND CHANNELS EFFECT OF ICT ON MANAGERIAL COMMUNICATION

Organizational communication network It is the pattern of information flow among task group members.

Five major network structures have been identified.

In the **wheel network**, all messages must flow through the individual at the **center of the wheel**.

In the **chain network**, some members can communicate with more than one member of the network, but the **individual in the center of the chain still tends to control the messages**.

In the **Y network**, the member at the **fork of the "Y" usually becomes** the central person in the network.

In the **circle network**, each member **can communicate with the individual on either side**.

In the **star network**, each member can **communicate with any other member**.

The **centralized networks** were usually faster and more accurate at **performing simple, routine tasks**.

The **decentralized networks** were usually faster and more accurate at **performing complex tasks**.

Vertical communication is a communication that **flows from a higher level to one or more lower levels** in the organization.

Downward communication is a vertical communication that flows from a higher level to one or more lower levels in the organization.

Downward communication is prone to distortion.

Upward communication is the vertical flow of communication from a lower level to one or more higher levels in the organization.

Management by wandering around (MBWA) is a practice whereby managers frequently tour areas for which they are responsible, talk to various employees, and encourage upward communication.

Horizontal communication is lateral or diagonal message exchange either within work-unit boundaries, involving peers who report to the same supervisor, or across work-unit boundaries, involving individuals who report to different supervisors.

Horizontal communication can take the form of meetings, reports, memos, telephone conversations, and face-to-face discussions.

Informal communication, better known as "the grapevine," is communication that takes place without regard to hierarchical or task requirements.

Formal communication is vertical and horizontal communication that follows paths specified by the official hierarchical organization structure and related task requirements.

Grapevines can be configured in a number of ways. MCQs

- In the single-strand chain, communication moves serially from person A to B to C and so on.
- With the gossip chain, person A seeks out and tells others.
- When following the probability chain, person A spreads the message randomly, as do individuals F and D.
- In the cluster chain, the most predominant form, person A tells three selected individuals, and then one of these tells three others.

In grapevine the data produced ranges from 50 to 90 percent accurate.

How Technology Affects Managerial Communication

Networked Systems

- An electronic mail system is a mail system that allows high-speed exchange of written messages through the use of computerized text-processing and communication networks.
- Voice mail is the recording systems which enable senders to leave messages for receivers by telephone.
- Teleconferencing is the simultaneous communication among a group by telephone or via computer using specially designed software. The software is often referred to a "groupware."
- Videoconferencing is the holding of meetings with individuals in two or more locations by means of closed-circuit television.
- Electronic data interchange (EDI) is a way for organizations to exchange standard business transaction documents, such as invoices or purchase orders, using direct computer-to-computer networks.
- Intranet systems are organizational communication networks that use Internet technology and are accessible only by organizational employees.
- Extranet systems are organizational communication networks that use Internet technology and allow authorized users inside the organization to communicate with certain outsiders such as customers and vendors.

Wireless Capabilities

Wireless communication depends on signals sent through air or space without any physical connection using things such as microwave signals, satellites, radio waves and radio antennas, or infrared light rays.

Lecture 44 MCQS

CONTROLLING AS A MANAGEMENT FUNCTION

Controlling is that process of regulating organizational activities so that actual performance conforms to expected organizational goals and standards.

Timing is one of the bases for differentiating control systems.

Control as a management process

A. **Controlling**, one of the four major functions of POLCA management, is the process of regulating organizational activities so that actual performance conforms to expected organizational standards and goals.

B. A **control system** is a set of mechanisms that are designed to increase the probability of meeting organizational standards and goals.

C. Controls can play five important roles in organizations.

Important MCQs

1. **Strategic control** involves monitoring critical environmental factors that could affect the viability of strategic plans, assessing the effects of organizational strategic actions, and ensuring that strategic plans are implemented as intended.

a. Strategic control is typically the domain of top-level managers who must insure core competencies are developed and maintained.

2. **Tactical control** focuses on assessing the implementation of tactical plans at departmental levels, monitoring associated periodic results, and taking corrective action as necessary.

a. Tactical control is primarily under the direction of middle managers, but top-level managers may at times get involved.

b. Tactical control involves department-level objectives programs, and budgets.

3 **Operational control** involves overseeing the implementation of operating plans, monitoring day-to-day results, and taking corrective action when required.

a. Operational control is the responsibility of lower-level managers.

b. Operation control is a day-to-day process.

MBO is a popular technique for coordinating the measurement of performance throughout an organization.

Management by exception is a control principle which suggests that managers should be informed of a situation only if control data show.

The **360-degree feedback system** is being used by a number of organizations as an evaluation approach.

Managers can take a number of approaches to deciding what to control.

Resource dependence is an approach based on the view that managers need to consider controls mainly in areas in which they depend on others for resources consider control mainly in areas in which they depend on others for resources necessary to reach organizational goals.

Strategic control points are performance areas chosen for control because these are particularly important in meeting organizational goals.

REVISITING CONTROL PROCESS

Control process as the three-step process

1. Measuring is the **first step in the control process**.

How we measure is done **through four common sources** of information that managers use.

- a. Personal observation b. Statistical reports c. Oral reports d. Written reports

What we measure is probably more **critical than the how** we measure.

2. Comparing is the **next/2nd step in the control process**.

1. It **determines the degree of variation between actual performance and the standard**.

3. Taking managerial action is the **final step in the control process**.

The control process is a continuous flow between measuring, comparing, and managerial action.

Designing Control Systems

Since **control** is the **process of monitoring activities** to ensure they are being accomplished as planned and of correcting any significant deviations. There are **three different approaches to designing organizational control systems**.

A. **Market control** is an approach that emphasizes the **use of external market mechanisms** to establish the standards used in the control system.

B. **Bureaucratic control** is an approach that **emphasizes organizational authority** and relies on administrative rules, regulations, procedures, policies, standardization of activities, well-defined **job descriptions**, and other administrative mechanisms to ensure that employees exhibit appropriate behaviors and meet performance standards.

C. **Market control** **relies on market mechanisms** to regulate prices for certain clearly specified goods and services needed by an organization.

Outsourcing, using **outside vendors** to perform services normally carried out within the organization, is becoming a more common practice.

D. **Clan control** is an approach to **designing control systems in which employee behaviors are regulated** by the shared values, norms, traditions, rituals, beliefs, and other aspects of the organization's culture.

Clan control relies on **values, beliefs, traditions, corporate culture, share norms and information relationships** to regulate employee behaviors and facilitate the reaching of organizational goals.

Lecture 45 MCQS

CONTROLLING ORGANIZATIONAL PERFORMANCE THROUGH PRODUCTIVITY AND QUALITY

Types of Controls MCQs

A. **Controls** can be **classified** according to their **timing or place in the productive cycle**.

1. **Feed forward control** **focuses on the regulation of inputs** to ensure that they meet the standards necessary for the transformation process. **Other names for feed forward control** are **“preliminary control,” “pre-control,” “preventative control” and “steering control.”**

2. **Concurrent control** involves the **regulation of ongoing activities** that are part of the transformation process to ensure that conform to organizational standards. **Other names for concurrent control** are **“screening” and “yes-no control.”**

Concurrent control is not appropriate for work that requires **creativity or innovation**.

3. Feedback control is **regulation exercised after a product or service has been completed** in order to ensure that the final **output** meets organizational standards and goals.

a. **Feedback control** is used when **feed forward and concurrent controls are not feasible** or are too costly.

b. **Feedback control serves a number of functions:** MCQs

- 1) To serve as a final means to check for deviations not detected earlier
- 2) To provide information that will facilitate the planning process
- 3) To provide information regarding employee performance

Other names for feedback control are “post action control” or “output control.”

B. Multiple control systems are systems that use **two or more of the feed forward, concurrent, and feedback control processes** and involve several strategic control points.

1. Multiple control systems **develop because** of the need to control various aspects of a **productive cycle**, including inputs, transformation, and outputs.

1. A **cybernetic control system** is a **self-regulated control system** that, once it is put into operation, **can automatically monitor the situation** and take corrective action when necessary, e.g., a heating system or some computerized inventory systems.

2. A **non-cybernetic control system** is a control system that **relies on human discretion** as a basic part of its process.

CONTROLLING FOR ORGANIZATIONAL PERFORMANCE

Performance is the end result of an activity.

Organizational performance—the accumulated end results of all the organization’s work processes and activities.

1. **Organizational productivity** is the **overall output of goods or services** produced divided by the inputs needed to generate that output. It’s the management’s job to increase this ratio.

2. **Organizational effectiveness** is a **measure of how appropriate organizational goals are** and how well an organization is achieving those goals.

TOOLS FOR MONITORING AND MEASURING ORGANIZATIONAL PERFORMANCE

Managers might use any of the **following types of performance control tools: financial controls, information controls, balanced scorecard approach, or benchmarking best practices** approach.

A. Financial Controls.

1. Traditional Financial Control Measures.

a. Financial ratios are calculated by taking numbers from the organization’s primary financial statements—the income statement and the balance sheet. The **four key categories of financial ratios are as follows.**

- 1) **Liquidity ratios** measure an **organization’s ability** to meet its **current debt obligations.**
- 2) **Leverage ratios** **examine the organization’s use of debt** to finance its assets and whether it’s able to meet the **interest payments** on the debt.
- 3) **Activity ratios** measure **how efficiently the firm is using its assets.**
- 4) **Profitability ratios** measure **how efficiently and effectively the firm is using its assets to generate profits.**

Managers are using measures such as **EVA (economic value added)** and **MVA (market value added)**.

a. **Economic value added** is a tool for measuring corporate and divisional performance by calculating **after-tax operating profit minus the total annual cost of capital**.

b. **Market value added** adds a market dimension by **measuring the stock market's** estimate of the value of a **firm's past** and expected capital investment projects.

B. Information Controls.

1. A **management information system** is a system that **provides managers with needed and usable information on a regular basis**.

Data are raw, unanalyzed facts. **Information is analyzed and processed data**.

Information can help managers control the various organizational areas efficiently and effectively.

Information plays a vital role in the controlling process.

C. Balanced Scorecard Approach.

The **balanced scorecard** is a performance measurement tool that **looks at four areas—financial, customer, internal processes, and people/innovation/growth assets**—that contribute to a company's performance.

D. Benchmarking of Best Practices

1. **Benchmarking** is the search for the best practices among competitors or non-competitors that lead to their superior performance.

THE END